

# Croda International plc

LON: CRDA | Specialty Chemicals — Life Sciences | Prepared by Sanjeeban Sumans, June 2026

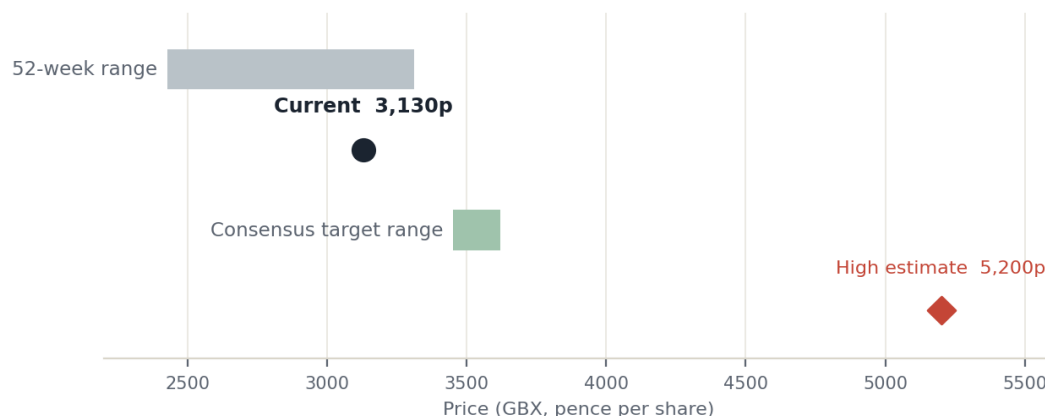
**LONG**

INITIATING COVERAGE

| PRICE (LATEST) | MARKET CAP     | 52-WEEK RANGE          | P/E (TTM)   | DIV. YIELD   |
|----------------|----------------|------------------------|-------------|--------------|
| <b>3,130p</b>  | <b>~£4.3bn</b> | <b>2,427p – 3,312p</b> | <b>~18x</b> | <b>~3.7%</b> |

## The View

The market re-rated Croda sharply lower once the 2021 COVID-19 vaccine windfall in its lipid delivery business faded, and the share price has not meaningfully recovered since, down from almost 9,000p in 2021 to around 3,130p today. The de-rating itself was reasonable: that windfall really was one-off. What looks less reasonable is that the market has kept discounting the entire Life Sciences platform as if it were COVID-dependent. It was not built for COVID, and it has kept growing since. Group sales rose 4.4% in FY2025, Consumer Care grew again in the most recent quarter, and the lipid nanoparticle business, the one COVID made famous, is still being actively invested in nearly five years after the vaccine cycle peaked. Initiating Long.



Source: London Stock Exchange, Stockopedia, Yahoo Finance. Priced as at 24 June 2026 close, all data delayed.

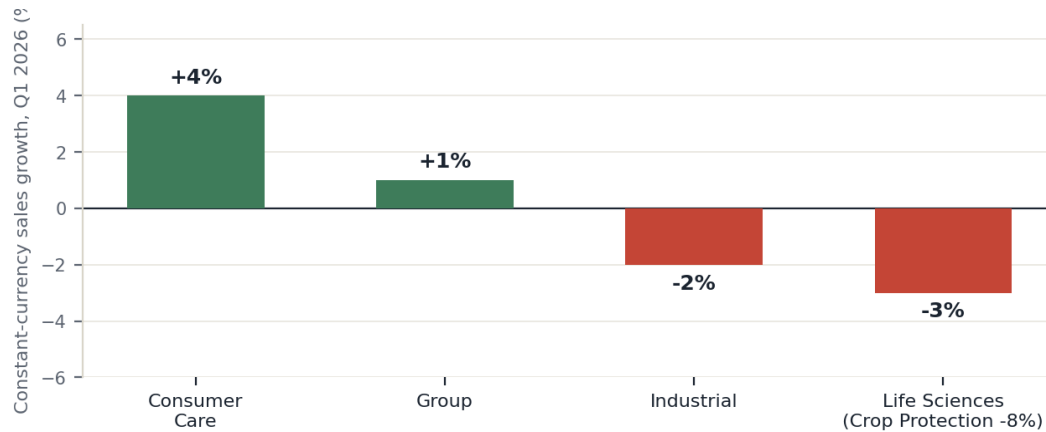
## Reason One — The Lipid Platform Outlasted the Catalyst That Made It Famous

Croda's exposure to lipid nanoparticle (LNP) technology did not start with COVID. It started with the 2020 acquisition of Avanti Polar Lipids, a deliberate move into drug delivery years before any vaccine contract existed. Independent research now names Croda alongside Merck KGaA and Evonik as a key player in the US lipid nanoparticle market, projected to grow from \$210bn in 2024 to \$519bn by 2033, a 10.6% annual rate, driven overwhelmingly by mRNA and gene-based medicine moving into oncology and rare disease rather than vaccines [1]. As recently as March 2025, Croda's Avanti Research division expanded its ionizable lipid range through a new partnership with Certest Biotech [2], a small but concrete sign the platform is still being built out, not run down. The market has priced the vaccine windfall as a one-off correctly. It has likely also priced the replacement demand for the same underlying platform as roughly zero, which is the actual mispricing.

## Reason Two — Consumer Care's Recovery Is Now Confirmed, Not Just Hoped For

Consumer Care has now posted growth across FY2025 (group sales +4.4%, H1 2025 sales +7% at constant currency [3]) and into Q1 2026, up 4% on Beauty Actives and Fragrances and Flavours even against a strong prior-year comparator [4]. Group sales were up only 1% in the same quarter, because Crop Protection fell 8%, but management has been explicit that this reflects a tough comparison against a year of customer restocking rather than a renewed structural decline, and the order book is described as healthy and slightly ahead of plan.

[4][5]. The chart below makes the split obvious: the part of the business the market is most worried about, Life Sciences and Crop Protection, is the only part actually shrinking.



Source: Croda International plc, Q1 2026 trading update, 14 May 2026.

## Risks

- **The LNP thesis is a multi-year story, not a multi-quarter one.** If mRNA and gene-therapy pipelines beyond vaccines disappoint, or shift toward delivery technologies that do not need lipid nanoparticles, this pillar weakens.
- **Crop Protection comparisons stay difficult through 2026.** Q1 was already down 8%. If this continues rather than normalising once the restocking comparator rolls off, Life Sciences keeps acting as a drag on group growth.
- **Limited valuation cushion.** At roughly 18x trailing earnings, Croda already trades above the FTSE 100 average. If Consumer Care momentum stalls, there is little multiple support left.

## What Would Sharpen the Case Further

- Decompose Consumer Care's recent growth into volume versus price and mix, to check how much is genuine demand versus pricing actions.
- Track Crop Protection quarter by quarter through 2026 to see whether the Q1 decline was the tough comparator working through, or the start of a renewed slide.
- Look for named contract or partnership disclosures tying Croda's lipid platform to specific non-COVID mRNA or gene-therapy programmes, beyond the general market-share citation used here.

## References

- [1] ResearchAndMarkets.com / GlobeNewswire, "[United States Lipid Nanoparticle Market Forecast and Competitive Analysis Report 2025-2033](#)", 24 October 2025.
- [2] Persistence Market Research, "[Lipid Nanoparticle Manufacturing Market report](#)" (Avanti Research / Certest Biotec collaboration, March 2025), April 2026.
- [3] Croda International plc, FY2025 and H1 2025 results announcements, [croda.com](#).
- [4] Croda International plc, "[First quarter 2026 sales in line with expectations](#)", trading update, 14 May 2026.
- [5] Yahoo Finance / company commentary, Croda International Q1 2026 earnings call highlights, April 2026.
- [6] London Stock Exchange, "[CRDA company page](#)", share price data as at 24 June 2026.
- [7] Stockopedia, "[Croda International \(LON:CRDA\) share price, forecast and financials](#)", accessed 17 June 2026.
- [8] Yahoo Finance, Croda International Plc (CRDA.L), analyst price target distribution, accessed June 2026.